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Showing the economic value of being small

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Low wellbeing Social sector

Traditionally it has been hard for smaller social sector organisations

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contribute to them being underestimated, undervalued and underfunded. However, a joint pilot project between PBE, The Fore and the Tech for Good Alliance is aiming to change this. Early evidence suggests that small social sector organisations, with their ability to innovate and reach those in our communities that need support the most, potentially deliver excellent value for money.

It's not easy being small

Small and micro-charities have had a tough last couple of decades. NCVO data shows that in the year 2000/01 charities with an income of less than £100,000 in today's prices received 10% of all the income in the charity sector. However, by 2021/22 this had dropped to just 2%. Survey data from 2024 highlighted that small charities and community groups are more likely than any other group to be experiencing financial difficulty, with many of them feeling "overlooked" by funders, policymakers and infrastructure organisations.

While there are many factors that contribute to this situation, impact measurement is one of the things that small charities often find difficult, particularly in economic terms. Finding the time, headspace and developing skills to plan for effective impact measurement and then manage and use data is a challenge. This can make it harder for small charities to communicate their impact when seeking philanthropic support and can act as a barrier in competing as a provider for local commissioners.

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enterprises. It believes there are thousands of innovative local charities that have highly effective solutions to the toughest challenges faced by our society. The Fore finds and funds high-potential charity leaders, convenes visionary philanthropists with funding and skills to share, and connects grassroots charities to the right networks. In doing so, it gives small charities the platform to take their solutions from grassroots to nationwide impact, creating a society that can solve its own problems.

We partnered with The Fore and the Tech for Good Alliance to pilot a new tool that allows charities to crack the economic impact enigma and easily demonstrate their impact in pounds and pence. We used simple, centralised digital surveying technology, alongside proven, robust government-recognised measures of wellbeing outcomes to better understand the impact that The Fore's partner charities are having on the quality of life experienced by the people they serve.

With The Fore operating the system centrally, these small charities can now develop good quality economic impact data, without having to worry about the headaches of managing additional IT systems, GDPR-compliant data stores, or finding and paying for external advice. All they need to do is encourage the people they support to fill the survey in when they start support and at follow-up points during the months afterwards. The central team handles the rest, giving the charities their economic impact data at the touch of a button.

Promising new evidence of impact for small charities

One of the charities taking part in the pilot is Mandem Meetup, a grassroots community organisation promoting, correcting and improving the conversation around men's mental health and wellbeing. It provides an open, inclusive

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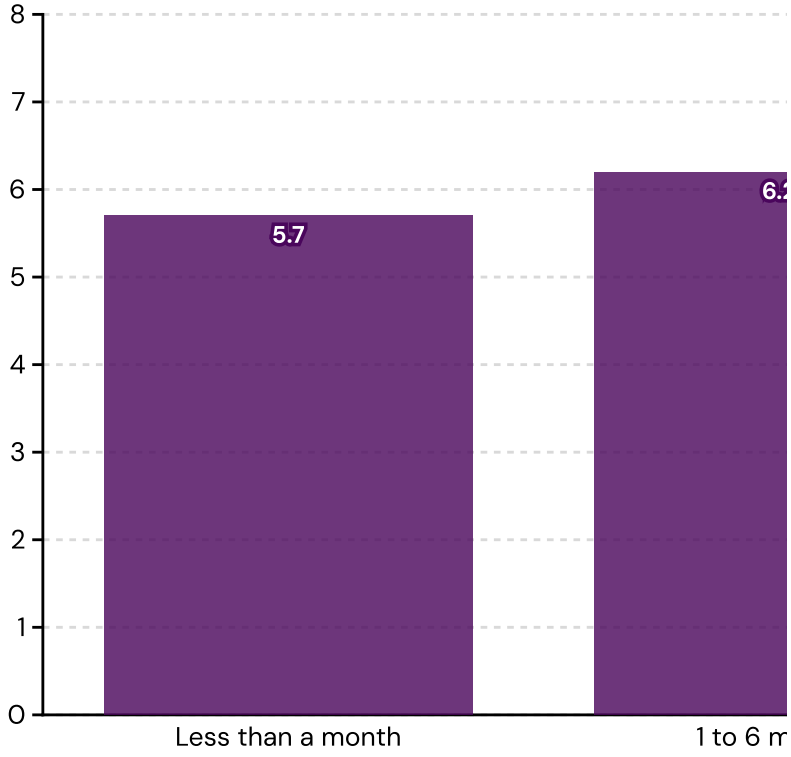
early results are promising. The average life satisfaction score for participants when they first join the programme is 5.7 out of 10 – well below the national average of 7.6. However, the longer participants have been engaged, the higher these wellbeing scores seem to get. For those that have been involved in the programme for between one and six months the average score is 6.2 and for those that have been involved for more than six months the average score is 6.9. If these differences in wellbeing based on length of engagement represent the kind of journey that a participant typically goes on, then we might see around 1.1 life satisfaction points improvement in wellbeing after around 6-12 months of being involved with the programme.

Figure 1: Wellbeing of Mandem Meetup participants is higher the longer they've been involved

Average life satisfaction score out of 10 by length of engagement with the charity



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challenges to their health and wellbeing typically tend to see their wellbeing decline by around 0.2 points over the same kind of time period. This means that Mandem Meetup could be contributing to a 1.3 life satisfaction point increase in wellbeing for its participants.

This is a life changing increase in wellbeing – almost three times the typical improvement seen when the average unemployed person finds a job. Using HM Treasury's methodology for valuing wellbeing we can allocate a monetary value to the increase in life satisfaction. For each participant, an increase of 1.3 points equates to more than £21,000 in wellbeing benefits if the improvements persist for just a year. At an average cost of around £160 per participant, it demonstrates the programme is excellent value for money.

> *"We feel and experience the change and growth in the men that join our community over time. But seeing it in numbers like this will change the trajectory of our charity. Thank you to The Fore and to PBE, but especially the guys taking time to fill out the questionnaire at Mandem Meetup"*
> *Jamie Dennis, CEO of Mandem Meetup*

And funding that goes further?

Mandem Meetup isn't the only promising example. We're seeing similar potential wellbeing improvements across the other charities taking part in the pilot. These are early results and we'll need more data to back them up —

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average wellbeing benefits experienced over a year, then for every £1 spent by the small charities involved in the pilot, they could be generating as much as £20 in wellbeing benefits.

The pilot formally comes to an end in March 2026, at which point we will be reviewing whether the new tool could be rolled out to more small charities across the country. However, if further evidence continues to support these initial findings, it looks like it could potentially play a valuable role in demonstrating the power of small charities.

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